

FIGHT FOR SURVIVAL



MSMEs have seen an uneven recovery after the pandemic, with some sectors recovering and others still struggling



Issues of financing, access to technology, and timely payments are amongst the biggest stumbling blocks

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“WHEN AN MSME goes to a bank for financing, it means that it is a patient and needs to be in the ICU. That is how banks should treat the business. Instead, they ask for several documents and take a long time to lend, if at all,” says Gaurav Kumar Jain, the owner of Meerut-based MSMEs K.R. Industries, K.R. Synthetic and K.R. Rubber, which manufacture a range of rubber, sports goods and fitness equipment.

The district of Meerut in Uttar Pradesh is India’s second-largest producer of sports goods after Jalandhar in Punjab. But problems in sourcing raw material, meeting international quality standards and challenges with ease of doing business are some of the biggest hurdles for MSMEs in the space, says Jain.

His comments are met with laughter by other

MSME owners and sectoral experts gathered in his office. Almost all recognise the bitter truth behind his comments even as they grapple with their own challenges. Take Sajid Saifi, President of the Mini Gas and Petromax Spare Manufacturers and Traders Association in Meerut. The mini gas cylinder cluster in Meerut has about 400 units and is looking for a proper space for production. “We want a common facility centre that would help us with adequate space for testing, getting raw materials and production,” says Saifi. But despite its large markets in India and abroad, it has been unable to convince the authorities.

Across the city, Ashutosh Agarwal, MD of jewellery firm Bhawani & Bhawani Jewellers, says players in the imitation jewellery space need to invest in technology to become competitive. But formal financing is hard to come by. Jain’s comments also find resonance amongst MSME owners across the country. In Maharashtra’s Kalyan, near Mumbai, chemicals manufacturer Chandan Gupta (name changed on request) is bogged down by the large number of compliance reports that need to be filed every month. “How is a small manufacturer supposed to run his businesses, if he has to meet deadlines to file returns and reports?” he asks. In Ahmedabad, Jainmin Gupta, 29, Founder of men’s apparel maker Barcelona, is worried about the presence of too many central and state-level policies that could make doing business across states cumbersome. “The current government is big on creating digital infrastructure and it could well look at creating one for MSMEs that helps us meet all state-level compliance requirements,” he says.

In Delhi, J.S. Ahluwalia, MD of freight forwarding and logistics firm Aquatic Freights, says the government doesn’t do enough for MSMEs. “Even during the pandemic, we were left to fend for ourselves... We were

